

THE SESSION · POST-CLOSE READ

The Long End Answers

The Committee held at 3.50%–3.75% on a 9–3 vote and the thirty-year yield did the talking. Both sleeves gave ground; Dividend Strategy gave back less than either of its benchmarks.

S&P 500 ▼ 1.46%

NASDAQ ▼ 1.74%

DOW ▼ 2.19%

VIX 20.29

BRENT ▲ \$89.61

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

–0.88%

1-DAY

FCI		–0.88%
DVY		–1.03%
SPY		–1.45%

YTD +20.18% vs DVY +17.81% · SPY +7.62%

GROWTH PORTFOLIO

▼ TRAILED IUSG

–2.54%

1-DAY

FCI		–2.54%
IUSG		–2.05%

YTD +10.36% vs IUSG +5.61%

THE SESSION

The Federal Reserve left its target range at 3.50%–3.75% for a fifth consecutive meeting, and the equity market spent the rest of the afternoon deciding it did not like the answer. The decision was never really the question; the vote and the curve were. Three members dissented in favor of a quarter-point increase, and Chairman Warsh, asked about the split, said he had asked for a good family fight and got one. What moved prices was the long end. The thirty-year Treasury yield rose roughly ten basis points to 5.20%, its highest level since July 2007 per CNBC, while the two-year eased four basis points to 4.24%. A curve that steepens on a hold is the bond market expressing doubt about the Committee's resolve on inflation rather than about its patience. The Dow gave back 1,153 points, or –2.19%; the S&P 500 closed –1.46% and the Nasdaq –1.74%, which CNBC noted carried the index into correction territory. VIX finished at 20.29.

Beneath the index prints, the session was a clean study in what a discount-rate shock does to equities that are valued on distant cash flows. Brent gained 6.6% to \$89.61 after Central Command reported intercepting an Iranian missile attack and the administration promised retaliation, and the near-term cash generators in the Growth Portfolio moved with the barrel: CVX +2.28%, CNX +1.46%, OKE +1.35%. Everything on the other end of the duration spectrum went the other way. Merchant silicon extended a fourth consecutive leg lower — CRDO –7.71%, NXPI –7.00%, MRVL –6.34%, AMD –5.51%, TSM –4.50% — and the miner-to-datacenter names, where the equity is a claim on power contracts rather than on the coin, absorbed the most: HUT –12.81% and MARA –11.69% on a day bitcoin itself closed –0.38%. That divergence is the entire AI-capex repricing in a single line.

When the long end reprices, everything valued on distant cash flows reprices with it. That is arithmetic. It is not evidence about the businesses we own.

The Dividend Strategy's -0.88% against DVY at -1.03% and SPY at -1.45% is what a book of near-term cash generators does when the discount rate moves: it gives back less. ADP's fiscal-fourth-quarter beat carried the sleeve alongside SYK, NTR, CL and ABT, and that was enough to offset CAT at -6.91% and LRCX at -6.40% — the two dividend holdings that have lately been trading as AI-capital-spending proxies rather than as an industrial and an equipment maker. The Growth Portfolio's -2.54% against IUSG at -2.05% is the arithmetic of

simply owning more of the complex being repriced; the sleeve still stands +10.36% for the year against IUSG's +5.61%, and the dividend sleeve +20.18% against DVY's +17.81% and SPY's +7.62%. Four FCI names report after tonight's close — LRCX, QCOM, FTNT and HOOD — alongside Microsoft and Meta, whose capital-spending guidance is the largest single input into the semiconductor question this tape has been asking all week. We will know more tomorrow morning than we know now, and we will not need to do anything differently as a result.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

NOW +4.65%

GROWTH

Enterprise software held its rotation bid for a third session. The second-quarter beat and the lifted full-year subscription guidance — with AI annual contract value now past \$1 billion — remain the underpinning.

YMM +3.77%

GROWTH

The Chinese freight platform traded apart from the rate and semiconductor repricing that set the domestic tape.

ADP +3.48%

DIVIDEND

Fiscal fourth-quarter adjusted EPS of \$2.64 topped the \$2.59 consensus on revenue of \$5.47 billion. Adjusted EBIT margin widened 140 basis points to 25.1%; fiscal 2027 guidance calls for 5%–6% revenue growth.

DECLINERS

HUT -12.81%

GROWTH

The miner-to-datacenter cohort absorbed the session's widest give-back on financing-cost concerns. Bitcoin itself closed -0.38%, which makes this an equity-funding repricing rather than a crypto move. Second-quarter results are due August 4.

MARA -11.69%

GROWTH

Same cohort, same cause: contracted AI capacity is being discounted at a higher rate than it was a month ago.

SOFI -8.90%

GROWTH

Second-quarter revenue of \$1.22 billion beat the \$1.13 billion consensus, adjusted EPS of \$0.12 beat by a penny, and full-year guidance moved up. The multiple did not follow.

CVX +2.28%

GROWTH

Brent gained 6.6% to \$89.61 after Central Command reported intercepting an Iranian missile attack. Upstream cash flow repriced with the barrel.

FTNT +2.16%

GROWTH

Cybersecurity was the defensive corner of software into tonight's second-quarter print.

SYK +1.63%

DIVIDEND

Medical devices drew the day's defensive flow alongside NTR (+1.63%), CL (+0.82%) and ABT (+0.68%).

CRDO -7.71%

GROWTH

Merchant silicon and high-speed connectivity extended a fourth session of give-back, carrying the highest beta in the sleeve to the capital-spending question.

CAT -6.91%

DIVIDEND

The industrial that had been trading as an AI-infrastructure proxy repriced with the complex, and a steeper long end does the rest. Second-quarter results are due August 4.

LRCX -6.40%

DIVIDEND

Wafer-fabrication equipment gave back into tonight's fiscal fourth-quarter print; company guidance was \$6.6 billion of revenue and \$1.65 of EPS, with consensus at \$1.69.

HOLDINGS NEWS

General Dynamics beat, raised, and gave the gain back anyway. GD reported second-quarter EPS of \$4.24 against a \$3.95 consensus on revenue of \$14.09 billion, up 8.1% year over year, with growth across all four segments and total backlog of \$136.5 billion, up 32%. Management lifted full-year EPS guidance to \$16.80–\$16.90 from \$16.45–\$16.55 and raised the Marine Systems revenue outlook by nearly \$1.3 billion. The shares closed –3.11% at \$380.96, and LMT closed –2.08%. Nothing in the print accounts for that; the long end does. This is the kind of gap between business results and quoted price that a patient owner should be pleased to see, not troubled by.

SoFi delivered the quarter and the market marked it down.

Second-quarter revenue of \$1.22 billion rose 42% year over year and cleared the \$1.13 billion consensus; adjusted EPS of \$0.12 beat \$0.11; pretax profit was \$204.3 million on a 16.8% margin; members grew 35% to 15.8 million and products 42% to 24.4 million; and full-year guidance moved higher. The shares closed –8.90% at \$15.25. Coming in already down roughly 37% for the year, the print reset the earnings power but not the multiple — the same asymmetric print bar the sleeve has met all week. HOOD (–3.15%) reports tonight into the same conditions.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+20.18%

vs DVY +17.81% / SPY +7.62%

GROWTH PORTFOLIO

+10.36%

vs IUSG +5.61%